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EMERGING TECH RESEARCH

Q1 2025 Enterprise SaaS M&A Review

Market uncertainty pressures SaaS valuations in strong deal quarter

PitchBook is a Morningstar company providing the most comprehensive, most accurate, and hard-to-find data for professionals doing business in the private markets.

Key takeaways

- Enterprise SaaS M&A count sustained a robust recovery: Q1 2025 saw an estimated 210 deals, maintaining strength following Q4. Despite this, total deal value decreased sharply, impacted by persistent market uncertainties and regulatory scrutiny.
- Top five megadeals drove nearly half of total deal value: Deals exceeding \$1 billion accounted for 49.2% of total transaction value. Excluding these deals, the average deal size dropped 16.7% QoQ.
- PE-driven activity set new records despite valuation pressures: PE deal value increased 12% QoQ, supported by significant large transactions. PE deal count hit a new quarterly record at 73 transactions.
- Corporate acquisitions softened significantly in Q1: Corporate M&A experienced a notable decline in deal value, down 44.9% QoQ. Market volatility and delayed IPO activity likely influenced corporations’ more cautious approach.
- VC-backed targets showed notable growth: VC-backed M&A value surged to \$14.6 billion in Q1, significantly outperforming other backing categories and underscoring continued investor enthusiasm for venture-funded SaaS companies.
- AP emerged as a standout segment: AP M&A value rose sharply by 108.1% YoY—using a run rate that compares Q1 to full-year 2024—to \$6.4 billion, while traditional powerhouse segments ERP and CRM declined. Despite this, ERP and CRM remained the largest segments in total transaction value and volume.

All acquisitions

Across our enterprise software-as-a-service (SaaS) sector, we have classified over 14,000 global SaaS companies from PitchBook's dataset of nearly 5 million private company profiles. Our analysis covers dealmaking over the past seven years and includes a taxonomy of six segments: analytic platforms (AP), customer relationship management (CRM), enterprise resource planning (ERP), supply chain management (SCM), knowledge management systems (KMS), and other application software. Global M&A transactions in enterprise SaaS include PE and corporate acquirers of SaaS companies across a range of backing statuses, including VC-backed, publicly held, privately held (no backing), privately held (backing), and PE-backed.

In Q1 2025, global enterprise SaaS M&A showed a sustained recovery in deal counts, roughly matching the 211 deals in Q4 2024 and well above the 165 deals in Q1 2024. Deal values overall declined significantly, falling 24.8% from \$38.7 billion in Q4 2024 to \$29.1 billion in Q1. This is a meaningful softening from the recent peak of \$42.2 billion in Q2 2024 (down 30.9% to Q1 2025) and the overall peak of \$111.3 billion in Q4 2021 (down 73.8% to Q1 2025). Enterprise SaaS dealmaking may be showing signs of recovery, especially as large cybersecurity deals—outside of our enterprise SaaS vertical—have been announced despite ongoing regulatory risks. That said, M&A continues to be under pressure from market uncertainty and continued scrutiny in the US and abroad of both Big Tech and further consolidation.

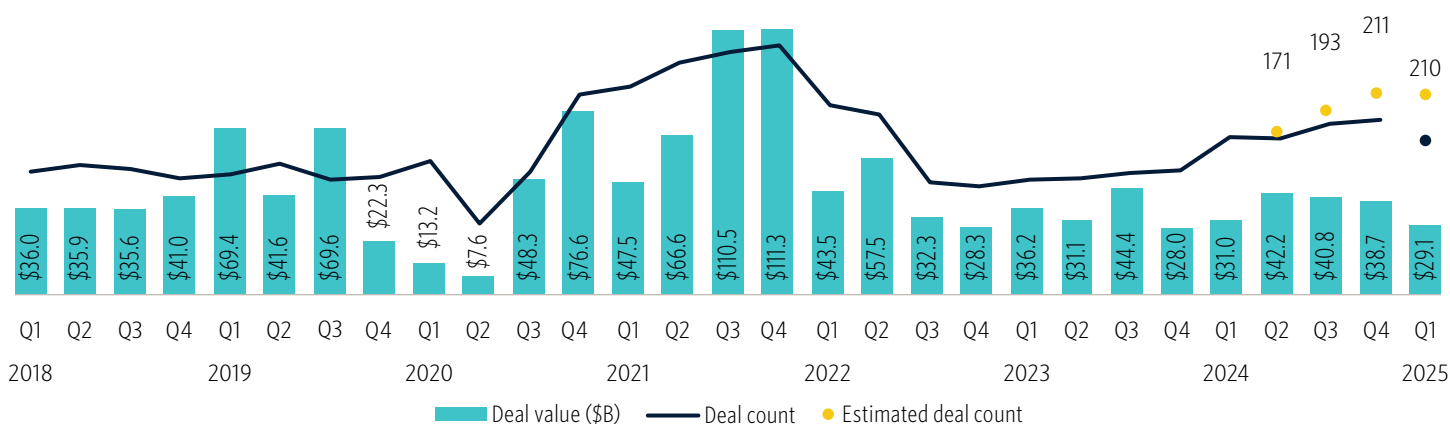
The bright spot remains Q1's strong recovery in deal count, which now approaches the quarterly peaks of 254 in Q3 2021 and 261 in Q4 2021. Despite Q1 2025's total deal value being down 24.8% QoQ, several large deals buttressed this total: Modernizing Medicine was acquired by Clearlake Capital Group in a \$5.3 billion LBO; Edifecs was acquired by Cotiviti through a \$3.1 billion secondary buyout; Moveworks was acquired by ServiceNow in a \$2.9 billion M&A; Weights & Biases was acquired by CoreWeave in a \$1.7 billion M&A; and Metaphysic was acquired by DNEG through a \$1.4 billion LBO.

Altogether, these five megadeals represented 49.2% of the total deal transaction value in the quarter. Excluding these top five deals, the quarter's average deal value was \$94.8 million, a 16.7% step-down from the average of the sub-\$1 billion deals completed in Q4 2024 (\$113.8 million).

In Q1, corporate and PE deal counts remained near their historical proportions of about two-thirds corporate and one-third PE. Corporate M&A represented an estimated 137 of the quarter's deals, similar to recent quarters, while PE accounted for an estimated 73 deals. Despite the elevated quarterly M&A deal count, valuations in the aggregate decreased meaningfully. The recent decline appears to be influenced primarily by persistently elevated interest rates and ongoing market uncertainty, particularly concerning potential tariffs, inflationary pressures, and evolving interest rate policies. While these factors are largely centered in the US, their impact is expected to extend across global markets. We also note that many AI-native and AI-enabled companies are generally focused on raising VC funding rather than seeking an acquisition, which may be limiting deal value among SaaS M&A transactions.

The silver lining of today's market is that there remains a robust pipeline of M&A-ready SaaS companies. We anticipate this backlog will serve as the primary catalyst for increased M&A activity within the enterprise SaaS sector. We view Salesforce's recent major announcement that it had acquired Informatica for \$8 billion as an important marker for the health of enterprise SaaS M&A in 2025.

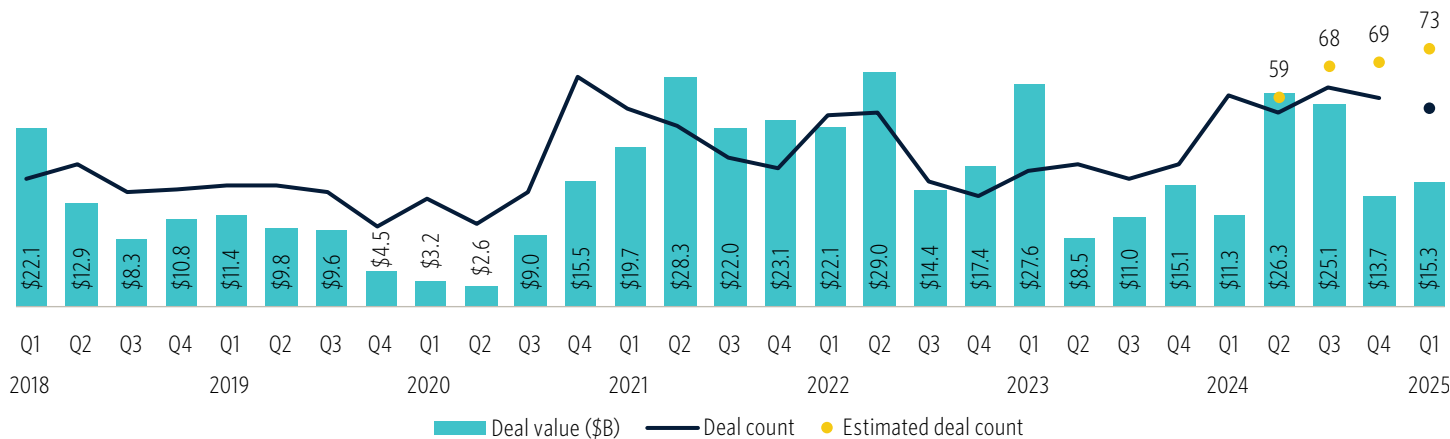
Enterprise SaaS M&A activity by quarter



Source: PitchBook • Geography: Global • As of March 31, 2025

PE buyouts

Enterprise SaaS PE buyout activity by quarter



Source: PitchBook • Geography: Global • As of March 31, 2025

The total value of PE-driven M&A in Q1 increased to \$15.3 billion, up 12% QoQ. PE deal value was bolstered by three of the five megadeals being executed by PE. These represented \$9.8 billion of the aggregate PE deal value in Q1 (63.7%). Beyond these, PE also notched a new record for deals done in the quarter, at 73, above the prior record of 69 in Q4 2024 and the pandemic-era peak of 66.

We were surprised by this strength in PE M&A, as this activity is particularly sensitive to interest rates, especially the outlook for future rates and overall

market certainty. SaaS valuations often move sharply and inversely in relation to rates, and the Federal Reserve's dot plot currently shows the potential for further rate cuts this year.¹ As the outlook for interest rates has become more uncertain in recent months, we are less optimistic about a sustained increase in PE deals across 2025.

Top PE investors in enterprise SaaS companies YTD

Investor	Deal count	Primary investor type
Kohlberg Kravis Roberts	4	PE/buyout
PSG	3	Growth/expansion
TA Associates Management	2	PE/buyout
Bridgepoint Group	2	PE/buyout
Francisco Partners	2	PE/buyout
FTV Capital	2	Growth/expansion
Silver Lake	2	PE/buyout
Battery Ventures	2	Growth/expansion
Aquiline	2	PE/buyout
Thoma Bravo	2	PE/buyout
The Carlyle Group	2	PE/buyout
Black Bay Energy Partners	1	PE/buyout
Arcadea Group	1	PE/buyout
HealthQuest Capital	1	Growth/expansion
Apollo Global Management	1	PE/buyout
South Dakota Equity Partners	1	Growth/expansion
Warburg Pincus	1	PE/buyout

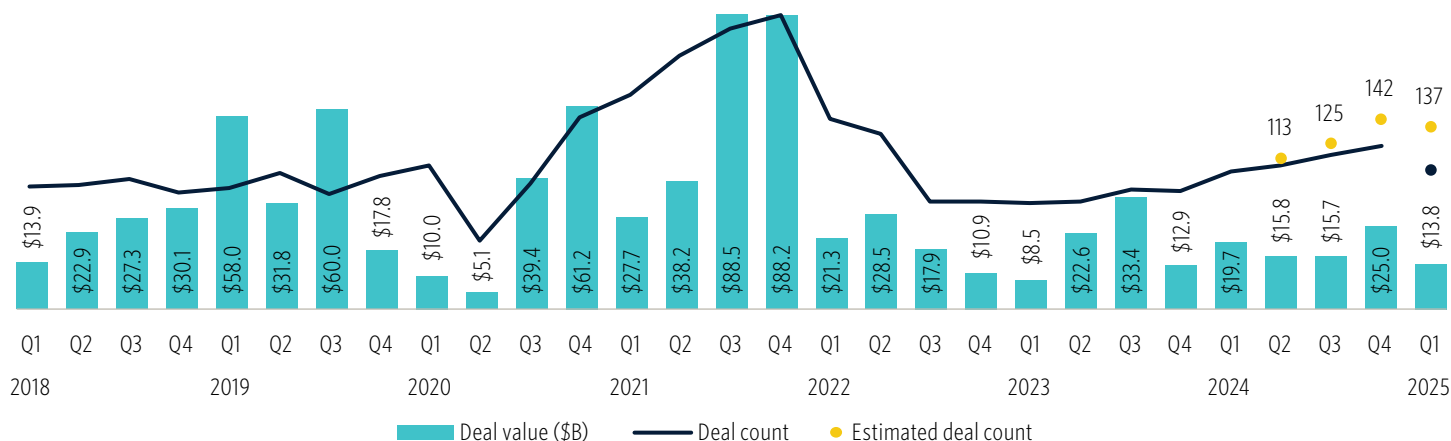
Investor	Deal count	Primary investor type
Enduring Ventures	1	PE/buyout
TowerBrook Capital Partners	1	PE/buyout
Gallant Capital	1	PE/buyout
Blackstone	1	PE/buyout
Everberg Capital	1	PE/buyout
General Atlantic	1	Growth/expansion
Teachers' Venture Growth	1	Growth/expansion
Veritas Capital	1	PE/buyout
WICapital	1	PE/buyout
GTCR	1	PE/buyout
bValue	1	Growth/expansion
Clearlake Capital Group	1	PE/buyout
Pollen Street Capital	1	PE/buyout
Marlin Equity Partners	1	PE/buyout
Integrity Growth Partners	1	Growth/expansion
Graham Partners	1	PE/buyout
Finback Investment Partners	1	PE/buyout

Source: PitchBook • Geography: Global • As of March 31, 2025
Note: This list includes PE/buyout, growth/expansion, and mezzanine investors.

¹: "Summary of Economic Projections," The Federal Reserve, March 19, 2025.

Corporate acquisitions

Enterprise SaaS corporate M&A activity by quarter



Source: PitchBook • Geography: Global • As of March 31, 2025

In Q1, corporate M&A drove results downward QoQ, with both a decrease in deal count to an estimated 137 from an estimated 142 in Q4 2024 and a sharp decline in deal value to \$13.8 billion from \$25 billion in Q4. This represented a 3.5% decrease in deal count QoQ and a 44.9% decrease in deal value QoQ. We believe that corporations were more hesitant in Q1 following strong dealmaking in Q4, as the market experienced higher volatility in the first quarter, and several high-profile IPOs were delayed or suspended. While not directly tied to corporate M&A, similar concerns could have affected the timing of Q1 dealmaking.

Corporate M&A in Q1 included two deals above \$1 billion: Moveworks (\$2.9 billion) and Weights & Biases (\$1.7 billion). Together, these represented 33% of the total corporate M&A. The quarter saw a smaller proportion of larger M&A transactions compared with recent quarters, contributing to the overall decline in deal value.

Top strategic acquirers of enterprise SaaS companies in 2025

Investor name	Deal count	Investor type
Triumph Financial Services	2	Corporation
Key 7 Investment	1	Corporation
Neonomics	1	VC-backed company
Rezolve Ai	1	Corporation
Motorola Solutions	1	Corporation
Case IQ	1	PE-backed company
Thomson Reuters	1	Corporation
The Juice	1	VC-backed company
SolarWinds	1	Corporation
Advantech Company	1	Corporation
TransUnion	1	Corporation
American Express	1	Corporation
MongoDB	1	Corporation
GlobalData Holding	1	Corporation
Alkami	1	Corporation
Yamaha Motor	1	Corporation
Tenable	1	Corporation
Beijing Highlander Digital Technology Company	1	Corporation

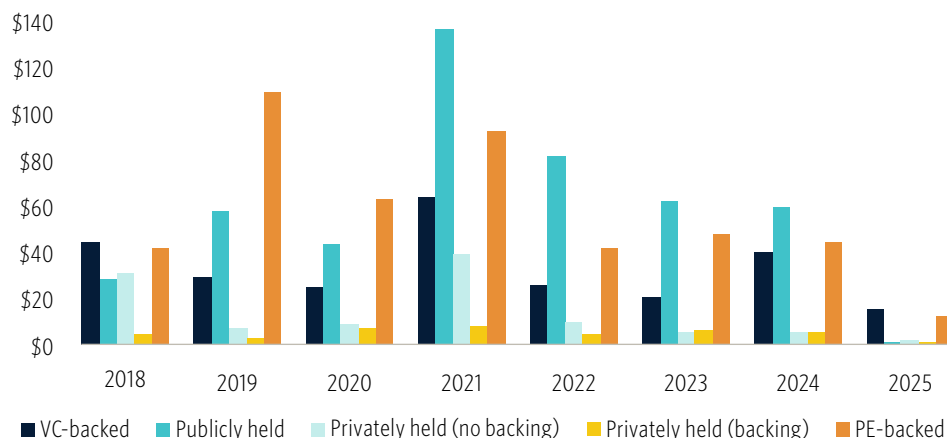
Investor name	Deal count	Investor type
Coinbase Global	1	Corporation
Yext	1	Corporation
Smarsh	1	PE-backed company
CYE	1	VC-backed company
Jamf	1	Corporation
Rokt	1	VC-backed company
5G Networks	1	Corporation
Beeckestijn Business School	1	Corporation
nCino	1	Corporation
Elite	1	PE-backed company
Clearwater Analytics Holdings	1	Corporation
Armis	1	VC-backed company
Flywire	1	Corporation
Embat	1	VC-backed company
Moody's Investors Service	1	Corporation
TMF Group	1	PE-backed company
GMO Payment Gateway	1	Corporation
T-Mobile US	1	Corporation

Source: PitchBook • Geography: Global • As of March 31, 2025

Note: This list includes corporations, corporate developments, PE-backed companies, and VC-backed companies.

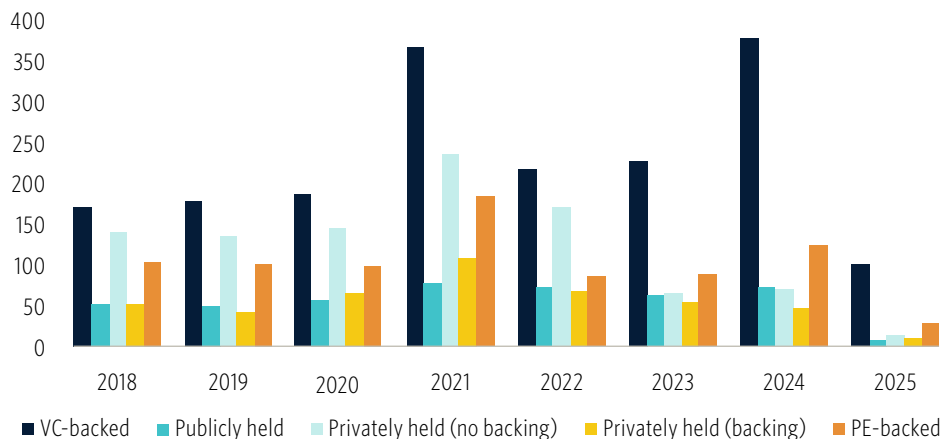
Analysis by backing, segment, and subsegment

Enterprise SaaS M&A value (\$B) by backing



Source: PitchBook • Geography: Global • As of March 31, 2025

Enterprise SaaS M&A count by backing



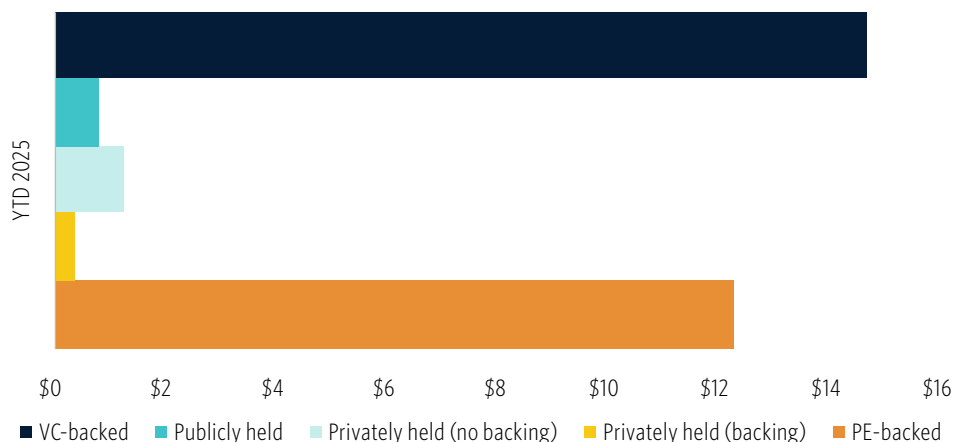
Source: PitchBook • Geography: Global • As of March 31, 2025

M&A value of VC-backed firms outperformed sharply in Q1 compared with all other backings

In Q1 2025, M&A value for VC-backed targets grew significantly to \$14.6 billion—a meaningful figure compared with the \$39.5 billion total in full-year 2024 and an increase of 47.6% should the current run rate continue through year-end. VC-backed targets also represented 50.1% of the quarter's total enterprise SaaS M&A value across all backing types. With the current run rate implied, nearly every other backing type declined in value YoY, although PE-backed had a slight YoY increase of 10.2%, totaling \$12.2 billion in Q1, compared with \$44.2 billion in full-year 2024.

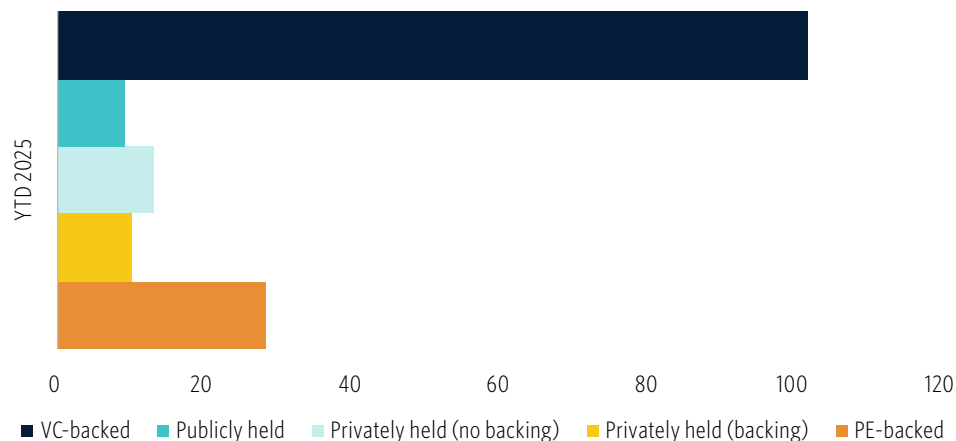
M&A counts by backing show a similar story, with the current run rate showing VC-backed M&A count up 6.9% YoY, although PE-backed declined 9.7% YoY compared with full-year 2024. Meanwhile, all other backing types were down more sharply, between 13% and 50.7% YoY.

Enterprise SaaS M&A value (\$B) by backing



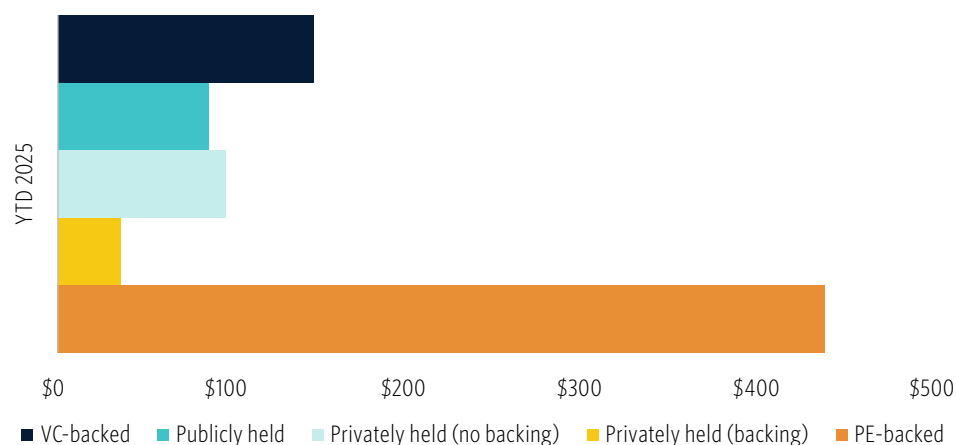
Source: PitchBook • Geography: Global • As of March 31, 2025

Enterprise SaaS M&A count by backing



Source: PitchBook • Geography: Global • As of March 31, 2025

Average enterprise SaaS M&A value (\$M) by backing

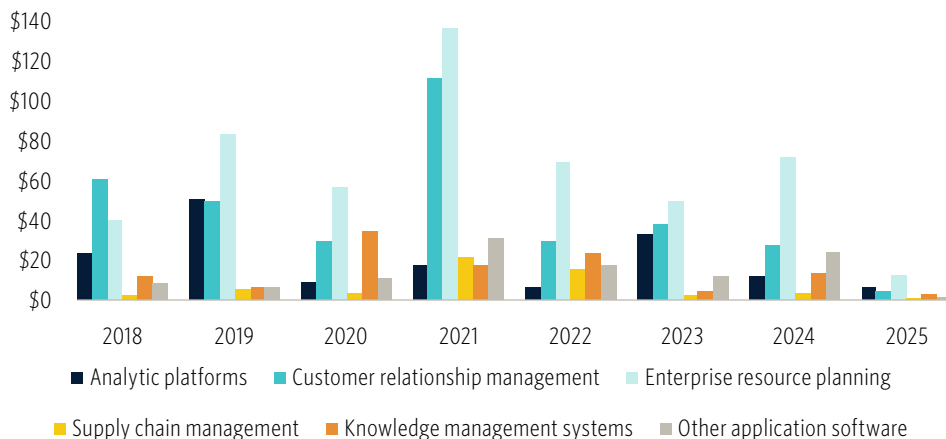


Source: PitchBook • Geography: Global • As of March 31, 2025

AP M&A value increased sharply, while traditionally larger segments decreased

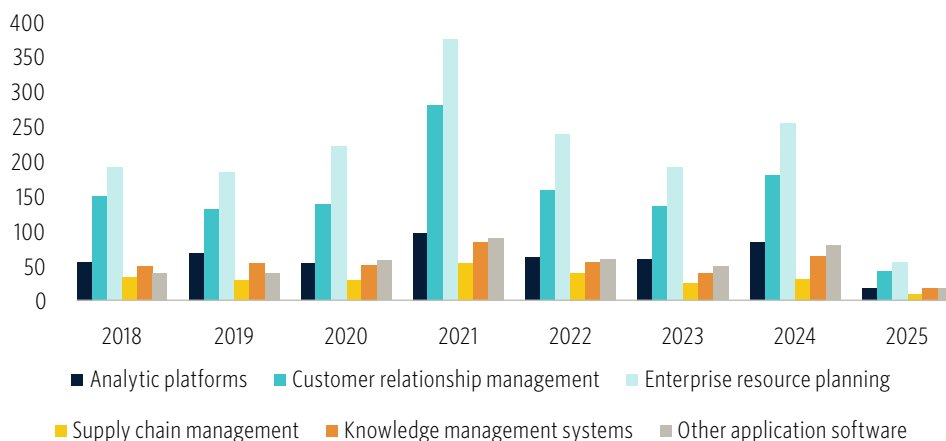
Compared with 2024, Q1 M&A transaction value decreased substantially in nearly every enterprise SaaS segment, including the historically larger segments, ERP and CRM. The sole standout in the quarter was AP, which had a YoY run-rate increase of 108.1%, totaling \$6.4 billion, compared with \$12.2 billion in full-year 2024. The run rate implies CRM was down 37.9% YoY, and ERP was down 27.8% YoY.

Enterprise SaaS M&A value (\$B) by segment



Source: PitchBook • Geography: Global • As of March 31, 2025

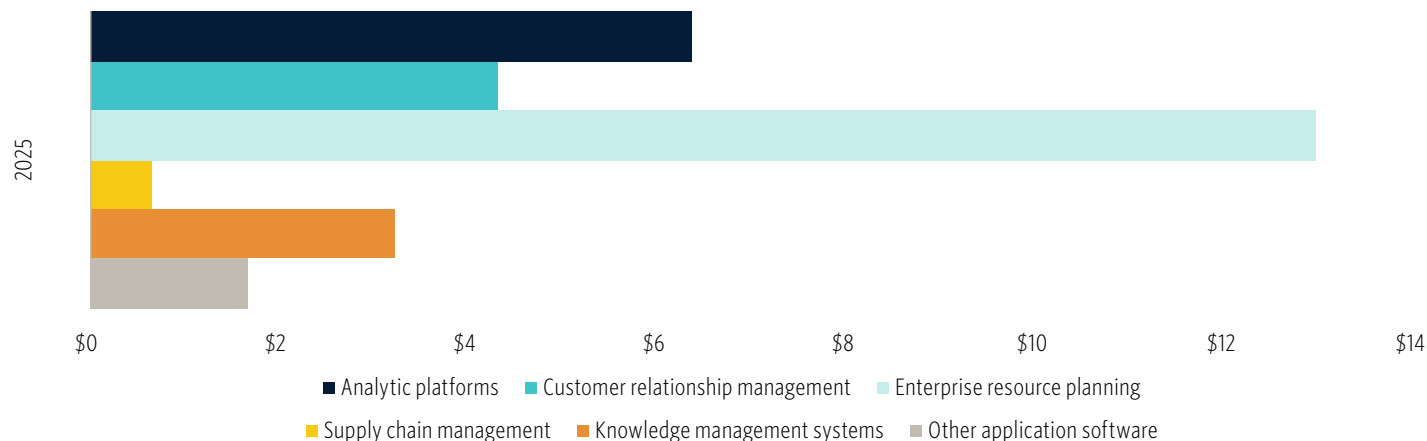
Enterprise SaaS M&A count by segment



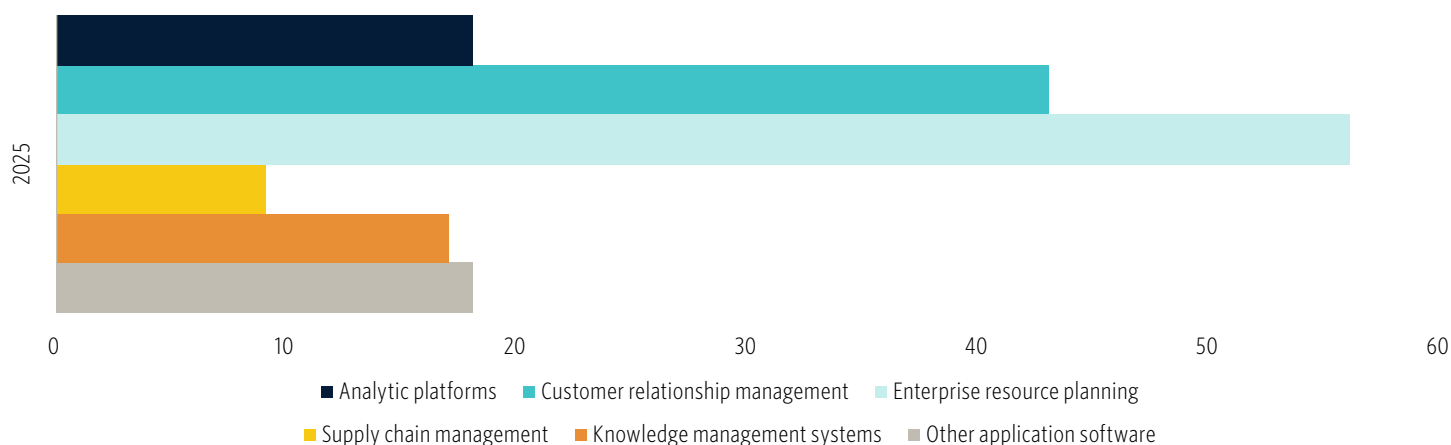
Source: PitchBook • Geography: Global • As of March 31, 2025

In Q1, ERP and CRM remained the largest segments in M&A activity. Our largest segment, ERP, represented 37.2% of the companies in our enterprise SaaS segmentation, and our second-largest segment, CRM, was 25.4% of the total. Among all M&A transactions in Q1, ERP transactions accounted for 44.4% of the total deal value (\$12.9 billion) and 34.8% of the total deal count (56 deals). CRM transactions were 14.8% of the total deal value (\$4.3 billion) and 26.7% of the total deal count (43 deals). All other segments were significantly smaller, each between 2% and 22% of the total M&A value and between 6% and 11% of the total M&A count.

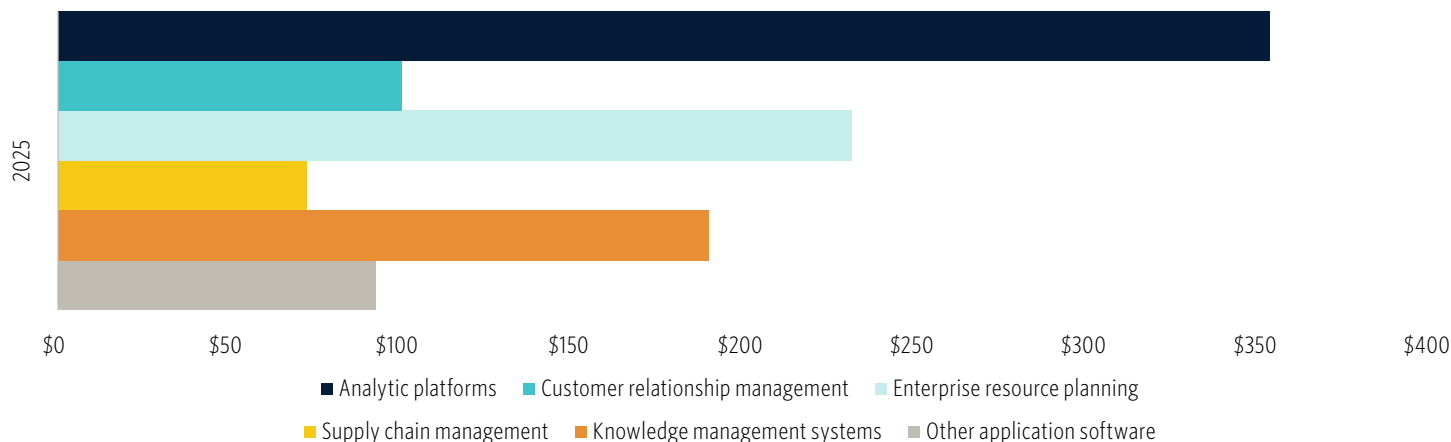
Enterprise SaaS M&A value (\$B) by segment



Enterprise SaaS M&A count by segment

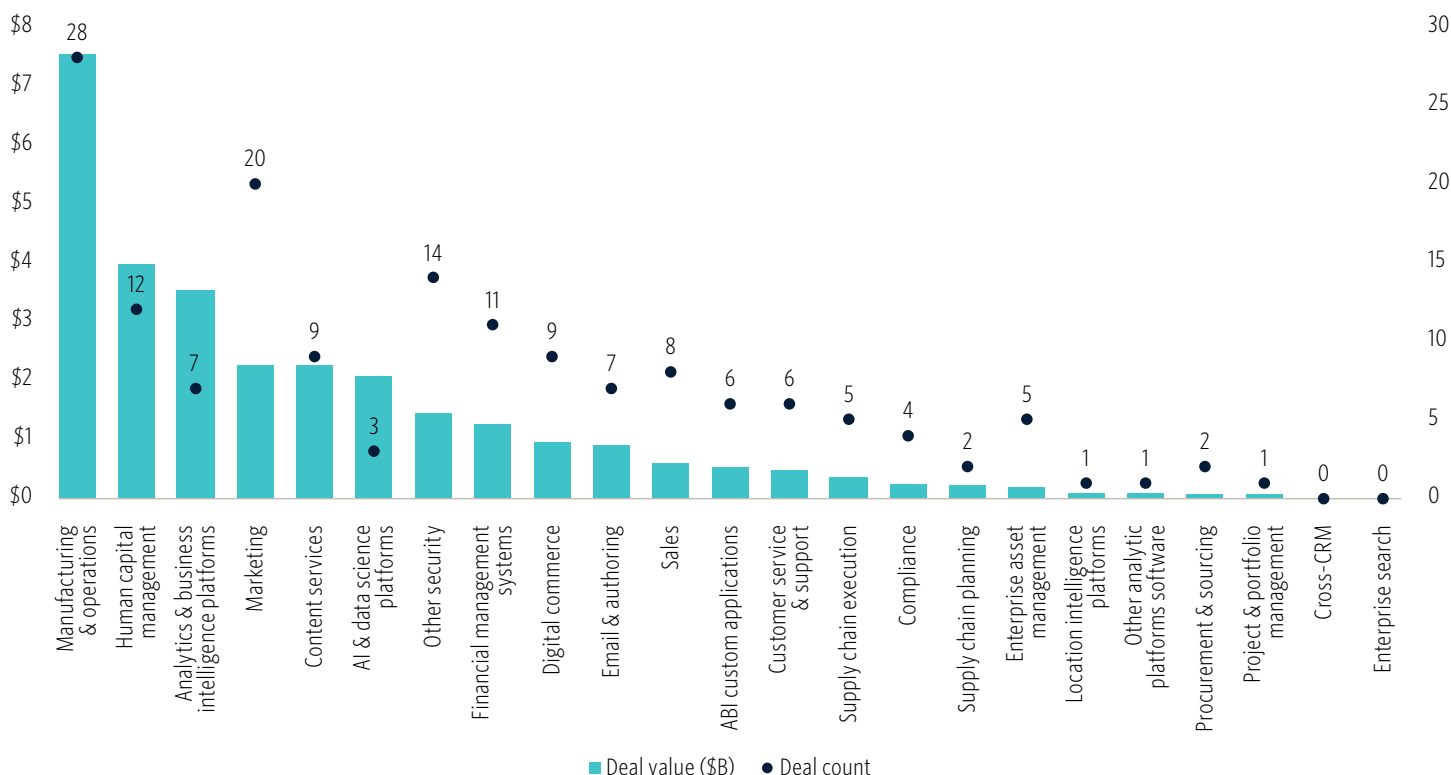


Average enterprise SaaS M&A value (\$M) by segment



Given the greater volume of ERP and CRM transactions, their average transaction prices were mostly lower than those of other segments in Q1. With just 11.2% of the total deal count—roughly one-third of ERP’s share and less than half of CRM’s—AP had a larger average deal size, at \$352.8 million per deal, because a smaller number of AP companies were acquired in more mature stages. Meanwhile, ERP averaged \$231 million per deal in Q1, while CRM averaged \$99.9 million per deal.

Enterprise SaaS M&A activity by subsegment in 2025



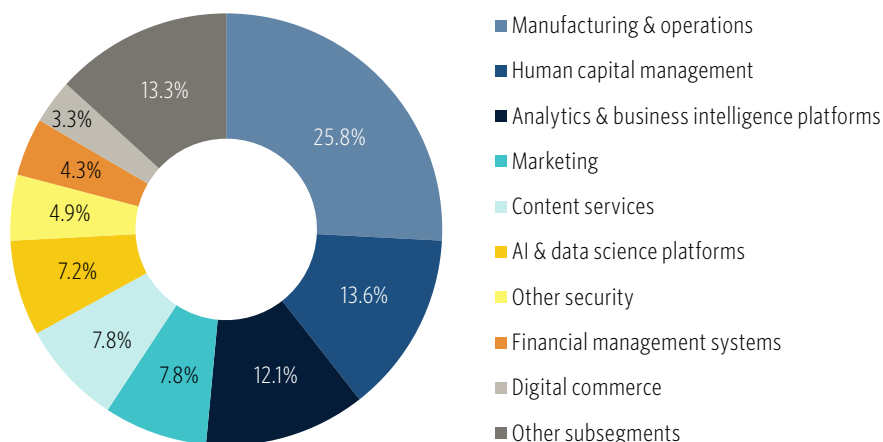
Source: PitchBook • Geography: Global • As of March 31, 2025

The largest and most active M&A subsegments targeted operations, analytics, and marketing

There was a clear trend in the enterprise SaaS subsegments targeted for M&A in Q1. The most active subsegment by value was manufacturing & operations (\$7.5 billion across 28 deals), followed by human capital management (12 deals totaling \$4 billion). The next two most active subsegments were analytics & business intelligence (BI) platforms (\$3.5 billion across seven deals) and marketing (\$2.3 billion across 20 deals).

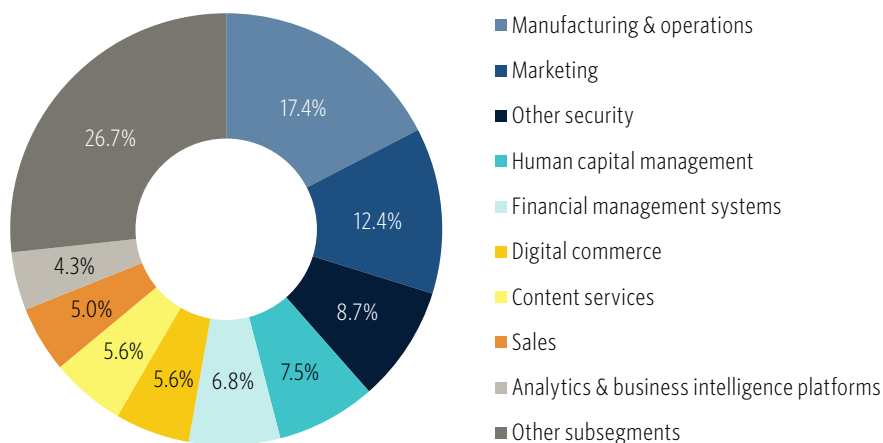
The least active subsegments included cross-CRM and enterprise search, which had no deals in the quarter, along with another five segments that had just one or two deals recorded. These included supply chain planning, location intelligence platforms, other analytic platforms software, procurement & sourcing, and project & portfolio management. Importantly, the spread between the most active and least active subsegments was many orders of magnitude, which speaks to the concentration of investment within certain segments—most notably ERP at the high end and KMS, SCM, and certain AP subsegments at the lower end.

Share of enterprise SaaS M&A value by subsegment in YTD 2025



Source: PitchBook • Geography: Global • As of March 31, 2025

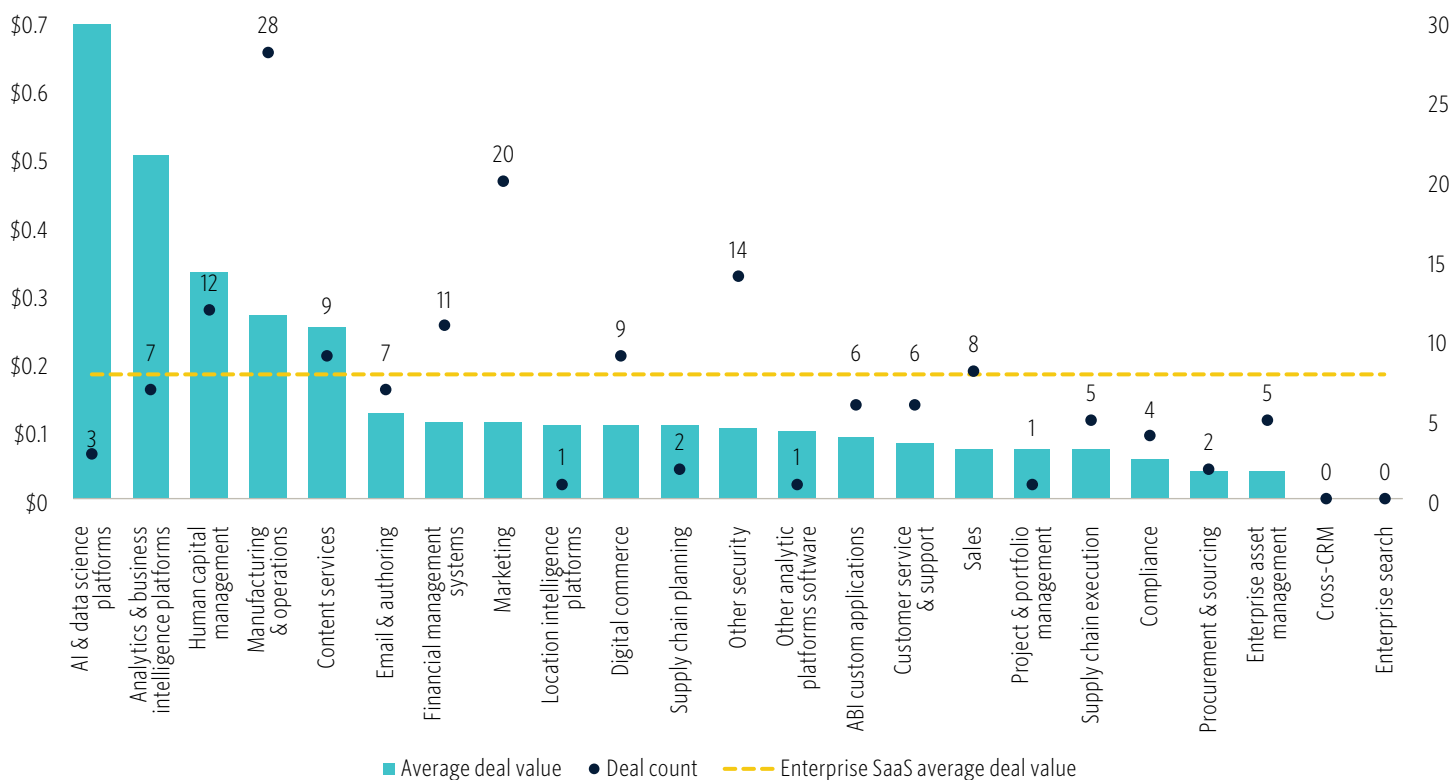
Share of enterprise SaaS M&A count by subsegment in YTD 2025



Source: PitchBook • Geography: Global • As of March 31, 2025

The most represented subsegments by Q1 M&A value included nearly all of the ERP subsegments. M&A within manufacturing & operations comprised nearly one in five deals and over one in four in terms of deal value. We expect ERP and certain CRM segments—marketing, digital commerce, and customer service & support—to remain top targets for M&A in 2025, while singular subsegments, such as analytics & BI platforms, email & authoring, and other security, make up additional areas of focus in the other segments.

Average enterprise SaaS M&A value (\$B) by subsegment in 2025



Source: PitchBook • Geography: Global • As of March 31, 2025

When examining average deal values across subsegments in Q1, some subsegments with low deal counts achieved higher overall valuations, reflecting a higher ratio of mature companies being acquired. The average estimated deal value for AI & data science platforms (\$694.9 million per deal across three deals) was about 3.8x the average across all enterprise SaaS (\$180.9 million). Manufacturing & operations had the highest deal count in Q1, though the subsegment's average M&A value was only the fourth highest, at \$268.6 million, behind analytics & BI platforms (\$502.4 million average) and human capital management (\$329.7 million average). After the top five by average deal value, the remainder were more closely packed, ranging from a \$127.1 million average deal size (email & authoring) to a \$39.5 million average deal size (enterprise asset management).